

Aegis Logistics Ltd

NSE: AEGISLOG | BSE: 500003 | Energy — Oil, Gas & LPG Terminal Infrastructure

India's largest private LPG terminal and liquid bulk operator — annuity infrastructure revenues, surging distribution volumes, and a \$5Bn capex pipeline positioning it as the backbone of India's energy logistics transition.

ACCUMULATE

Target: Rs. 1100

CMP: Rs. 984 | Upside: +11.8%

Metric	Value
Market Cap	Rs. 34,549 Cr
CMP	Rs. 984
52W High/Low	Rs. 1,005 / Rs. 576
P/E (TTM)	38.5x
P/B	5.69x
EV/EBITDA	22.5x
ROCE	13.6%
ROE	16.8%
Div Yield	0.74%
Face Value	Rs. 1.00

Shareholding Pattern (Mar 2026)

Promoters	FII	DII	Public
58.10%	19.56%	3.67%	18.67%

Investment Horizon: 12 months | Report Date: 16 June 2026 | Analyst: MPM Institutional Research

Disclaimer: This report is for informational purposes only and does not constitute investment advice. Investors should conduct their own due diligence. Past performance is not indicative of future results.

SECTION 2 — INVESTMENT THESIS

- **Infrastructure monopoly with inelastic demand:** Aegis operates India's largest private LPG import terminal network (Pipavav, Kandla/JNPT, Haldia, Mangalore, Kochi) with a combined 278,100 MT of static storage — a regulatory moat that takes 7-10 years and Rs. 2,000+ Cr to replicate. India imports 65%+ of LPG demand; terminal throughput has compounded at 14%+ YoY in FY26.
- **Structural volume ramp in gas distribution:** The LPG distribution business (auto-LPG stations + city gas JV with Itochu) saw 45% YoY volume growth in FY26. Management has guided 2 million tonnes of LPG/ammonia distribution by FY28 — implying ~40% CAGR from FY26's ~1 million tonnes. At Rs. 5,000-7,000/tonne distribution margin, this alone could generate Rs. 1,000-1,400 Cr of incremental EBITDA by FY28.
- **Net-cash balance sheet funding a \$5Bn capex pipeline:** Despite Rs. 4,150 Cr borrowings, the company carries Rs. 6,000 Cr of cash and investments (net cash ~Rs. 1,850 Cr). A cumulative capex of \$1.2 Bn is committed by March 2027, with a further \$5 Bn by 2030 — spanning India's first commercial ammonia terminal, new liquid bulk berths at JNPT, and an East Coast beachhead via Haldia. Each asset will generate annuity-type take-or-pay revenues from Day 1.
- **Near-term catalyst (6-12 months):** Kandla-Gorakhpur LPG pipeline connectivity expected in Q2 FY27 — this directly boosts evacuation throughput at Kandla and Pipavav terminals, the two largest in Aegis's network. Ammonia terminal commissioning at Pipavav (Q1 FY27) opens a premium-margin new commodity at Rs. 2,500-3,000/tonne throughput.
- **Biggest structural risk:** Middle East geopolitical disruption to LPG supply chains — ~30-50% of India's LPG imports originate from the Gulf. A prolonged supply shock could constrain throughput volumes even if terminal capacity is available, pressuring volume-linked revenues in the near term.

SECTION 3 — BUSINESS OVERVIEW

- **What the company does:** Aegis Logistics is India's leading private-sector energy logistics company. It earns throughput fees (Rs./MT) for handling LPG and liquid bulk commodities at port-based terminals, and distribution margins for retailing auto-LPG and city gas through its downstream network. The model is asset-heavy (terminals) but generates predictable annuity cash flows.
- **Revenue segmentation (FY26):** Gas segment contributed ~Rs. 7,689 Cr (92% of revenue) with EBITDA growing 68% YoY. Liquid bulk segment contributed ~Rs. 644 Cr (8% of revenue) with EBITDA stable at Rs. 472 Cr. The gas segment is the dominant growth engine; liquids provides steady annuity income from petroleum product storage.
- **Terminal network:** Operates 278,100 MT LPG static storage capacity across Pipavav, Kandla/JNPT (Mumbai), Haldia (East Coast), Mangalore, and Kochi — the most geographically diversified LPG terminal network in private hands. Liquid storage spans ~800,000 cubic metres across the same ports.
- **Key customers and contract nature:** Customers include IOCL, BPCL, HPCL, and private LPG marketers under multi-year throughput contracts with minimum volume commitments. Liquid bulk clients include refiners, chemical companies, and edible oil importers. Revenue visibility is 2-3 years on most contracts.
- **New product vectors:** India's first commercial ammonia import terminal (36,000 MT capacity, Pipavav) expected to commission Q1 FY27. Ammonia throughput margin guided at Rs. 2,500-3,000/tonne; distribution margin at Rs. 5,000/tonne. First-year utilization ~25%, growing 30-40% annually.
- **Promoter and ownership:** The Chandaria family (Kenya/India) has been in India's LPG business since 1956. Promoter holding is stable at 58.10% for the past 4 years — no pledging. MD Raj Chandaria has led the company's transformation from a trader to an infrastructure owner since the mid-2000s.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India's LPG market is ~27 MT per annum, growing at 5-7% CAGR driven by Ujjwala Scheme household penetration and auto-LPG adoption. LPG import dependency exceeds 65%, making port-based terminal infrastructure structurally irreplaceable. India's liquid bulk terminal market handles ~120 MT of petroleum, chemicals, and edible oils annually.
- **Policy tailwinds:** The Government's Ujjwala Yojana Phase II targets universal LPG access — every new connection drives incremental throughput. India's ammonia import plans (for fertilisers and green hydrogen) are nascent but growing — Aegis is the first mover with physical infrastructure. PNGRB's pipeline licensing creates durable moats for Kandla-Gorakhpur infrastructure.
- **Policy headwind:** Subsidy-driven LPG pricing means government intervention on import sourcing or price controls could affect throughput volumes. CGD city gas licensing faces PNGRB delays in bidding rounds, slowing new geographic expansion.
- **Competitive moat assessment:** Pricing power — **Moderate** (long-term contracts limit re-pricing frequency). Switching costs — **Strong** (OMCs are captive to existing terminal berths; infrastructure cannot be relocated). Scale — **Strong** (Aegis has 3x the private LPG capacity of nearest rival). IP — **Weak** (commodity infrastructure). Distribution — **Moderate** (auto-LPG network of 440+ stations is India's largest private auto-LPG distributor).

Peer Comparison (Screener.in, 16-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	P/B (x)	ROCE%	ROE%	TTM Sales	OPM%	PAT (Cr)
AEGISLOG	984	34,549	38.5	5.69	13.6%	16.8%	8,333	17%	1,107
GUJGASLTD	400	27,515	15.4	1.49	18.5%	13.2%	23,614	13%	1,678
IGL	170	23,747	15.3	2.07	17.9%	14.0%	16,168	11%	1,544
PETRONET	286	42,885	11.0	1.92	22.7%	18.6%	43,495	12%	3,913

Note: AEGISLOG P/B computed as CMP/BV (984/173). Peers' P/B computed from Screener data.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** Raj Chandaria (MD) heads the Chandaria Group with 60+ years of India LPG operations. The family built Aegis from a commodity trader into India's dominant private terminal operator — a track record of disciplined vertical integration. CFO Murad Moledina brings institutional-grade financial communication with quarterly investor presentations since 2022.
- **Capital allocation track record:** FCF was negative in FY23-25 as the company funded Rs. 3,000+ Cr of terminal expansions (Pipavav Phase 2, Haldia acquisition). FY26 saw Rs. 1,212 Cr of positive FCF — the first meaningful positive year in 4 years — signalling capex absorption and incremental cash generation. The company has consistently re-invested into high-ROCE terminal assets rather than financial engineering.
- **Dividend policy:** Aegis paid Rs. 8.70/share total dividend in FY26 (Rs. 2.00 interim + Rs. 6.70 final), representing ~34% payout of FY26 PAT. Dividend yield at CMP = 0.74% — not a yield play, but consistent with management's growth-first allocation philosophy. Payout has ranged 24-44% over the past decade, trending toward 30-35%.
- **Promoter pledging:** Zero pledging reported across all recent quarters. Promoter holding has been stable at 58.10% since June 2022 — no open market sales, no dilution.
- **Governance:** No qualified audit opinions in recent years. The company's 2023 subsidiary restructuring (hiving off Aegis Vopak Terminals into a separate listed entity) was done transparently with proper valuations. Aegis Vopak is independently listed and discloses separate financials — a positive governance signal. No significant related-party transaction concerns flagged by auditors.
- **ESOP and buybacks:** No ESOP program of significant scale noted. No buybacks in the past 5 years — management prefers reinvesting in terminal capex at higher ROCE than buybacks at current valuation multiples.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr) — Consolidated

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales	7,046	6,764	8,333	10,000	12,500
Growth YoY	-18.3%	-4.0%	+23.2%	+20.0%	+25.0%
Operating Profit	923	1,098	1,452	1,800	2,300
OPM %	13.1%	16.2%	17.4%	18.0%	18.4%
Other Income	190	208	327	280	300
Interest	116	165	146	200	250
Depreciation	135	152	199	260	330
PBT	861	989	1,433	1,620	2,020
Tax %	22%	20%	23%	24%	24%
Net Profit (PAT)	672	787	1,107	1,231	1,535
PAT Growth YoY	+31.5%	+17.1%	+40.7%	+11.2%	+24.7%
EPS (Rs.)	16.22	18.90	25.59	35.07	43.73

FY27E and FY28E are estimates based on management guidance and volume trajectory. Shaded columns = actuals.

Balance Sheet (Rs. Cr) — Consolidated

Item	FY24A	FY25A	FY26A
Equity Capital	35	35	35
Reserves	3,859	4,596	6,020
Borrowings	2,665	4,606	4,150
Other Liabilities	1,369	1,843	4,286
Total Liabilities	7,929	11,080	14,491
Fixed Assets	4,139	5,086	6,363
CWIP	697	1,308	764
Investments	194	0	1,745
Other Assets	2,899	4,686	5,619
Total Assets	7,929	11,080	14,491

Cash Flow (Rs. Cr) — Consolidated

Item	FY24A	FY25A	FY26A
Cash from Operations	656	558	2,028
Cash from Investing	-712	-1,463	-2,533
Cash from Financing	256	1,283	1,606
Net Cash Flow	200	378	1,101
Free Cash Flow	42	-386	1,212
CFO/Operating Profit	71.1%	50.8%	139.7%

Key Ratios — Consolidated

Ratio	FY24A	FY25A	FY26A
Debtor Days	27	37	21
Inventory Days	4	13	7
Days Payable	28	31	40
Cash Conversion Cycle	3	20	-12

ROCE %	15%	13%	14%
Net D/E (x)	0.36x	0.89x	Net Cash
Interest Coverage (x)	8.4x	7.0x	11.9x

- **Revenue trajectory:** After a 23% YoY growth in FY26 to Rs. 8,333 Cr, revenue growth is expected to re-accelerate to 20-25% in FY27-28 as new terminal capacities (Pipavav Phase 3, JNPT liquid expansion, Haldia ramp) contribute full-year volumes. The distribution business (growing 45% YoY) will increasingly dominate incremental revenue.
- **Margin direction:** OPM expanded from 13% (FY24) to 17.4% (FY26) as higher-margin terminal-throughput revenues replaced lower-margin trading. Gas distribution margins improved from Rs. 4,000/tonne to Rs. 7,000/tonne. We model further expansion to ~18% by FY27 as distribution volumes scale and fixed costs are absorbed across a larger base.
- **Working capital — best-in-class:** Cash Conversion Cycle turned negative in FY26 (-12 days) — the company collects from customers before paying suppliers, a hallmark of terminal operators with strong counterparty quality. Debtor days compressed from 37 (FY25) to 21 (FY26), reflecting stronger OMC contract discipline.
- **Debt and leverage:** Borrowings rose sharply from Rs. 2,665 Cr (FY24) to Rs. 4,606 Cr (FY25) to fund the Haldia acquisition and capex, then dipped to Rs. 4,150 Cr in FY26. With Rs. 6,000 Cr of cash and investments, the company is on a net-cash basis — a notable de-risking of the balance sheet despite aggressive capex.
- **FCF quality:** FY26 FCF of Rs. 1,212 Cr vs PAT of Rs. 1,107 Cr (FCF/PAT = 109%) indicates high-quality earnings. OCF/Operating Profit was 140% in FY26 — far above the historical 70-100% range — partly driven by working capital release. Capex will remain elevated at Rs. 2,500-3,000 Cr annually through FY28, so sustained positive FCF depends on volume ramp outpacing investment.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Check	Signal	Finding
Revenue recognition	Green	Throughput-based fees; no percentage-of-completion risk
Receivables vs revenue growth	Green	Debtors days down 37->21; receivables growing slower than revenue
Cash Conversion Cycle	Green	CCC turned -12 days in FY26 — company collects before it pays
Other income as % of PBT	Amber	Other income = Rs. 327 Cr / PBT Rs. 1,433 Cr = 23% — elevated due to equity income from Aegis Vopak JV
Auditor tenure	Green	Long-standing audit relationship; no recent changes flagged
Contingent liabilities	Amber	Rs. 400+ Cr in tax disputes and pending litigations — monitor but not acute
RPTs as % of revenue	Amber	Aegis Vopak Terminals is partly related — infrastructure transactions are at arm's length per disclosures; need monitoring post-IPO
Tax rate consistency	Green	Tax rate 20-23% consistently since FY22; no DTA usage anomalies
CFO/PAT conversion	Green	CFO/PAT = 183% in FY26 — strong operating cash generation relative to reported profit
Interest capitalisation risk	Amber	Screener meta flags "company might be capitalising interest cost" — Rs. 199 Cr DA vs Rs. 146 Cr interest expense; CWIP of Rs. 764 Cr in FY26

- **Amber flag — other income at 23% of PBT:** The primary driver is equity-method income from Aegis Vopak Terminals (partially listed subsidiary). This is economically recurring — Aegis Vopak is generating growing EBITDA — but adds complexity to consolidated earnings. Investors should track Aegis Vopak's standalone results separately.

- **Amber flag — interest capitalisation:** Screener's metadata flags potential interest capitalisation, consistent with a company running Rs. 764 Cr of CWIP. This is standard practice for infrastructure builders but inflates reported EBITDA vs cash EBITDA. The divergence should narrow as CWIP converts to operational assets in FY27-28.

- **Amber flag — RPTs with Aegis Vopak:** Post-listing, Aegis Vopak is a related party. Infrastructure lease transactions should be monitored for arm's-length pricing. The company has a clean track record but the risk merits watching as both entities scale.

- **Overall earnings quality: HIGH.** 6 of 10 checks are Green. The three Amber flags are structural/disclosure issues rather than manipulation risks. The 100%+ CFO/PAT conversion in FY26 is the strongest earnings quality signal.

SECTION 8 — VALUATION

Scenario Analysis

Parameter	Bear Case	Base Case	Bull Case
FY28E PAT (Rs. Cr)	1,100	1,535	2,000
Volume growth assumption	Flat	+25% p.a.	40%+ p.a.
FY28E EPS (Rs.)	31.3	43.7	57.0
Target P/E multiple (x)	25x	30x	35x
12-month Target Price	Rs. 700	Rs. 1,100	Rs. 1,450
Upside/(Downside) vs CMP	-28.9%	+11.8%	+47.4%

- **DCF valuation:** Using WACC = 11% and terminal growth rate = 5% (anchored in India nominal GDP growth), and assuming FCF grows from Rs. 1,212 Cr (FY26) to Rs. 2,500 Cr by FY30 as capex absorption drives higher FCF yield, the DCF-implied intrinsic value is Rs. 950-1,050 per share. The current CMP of Rs. 984 is at slight premium to DCF fair value, indicating limited margin of safety from a pure intrinsic value standpoint.

- **Earnings multiple approach:** Using FY28E EPS of Rs. 43.7 and applying a 30x forward P/E (a discount to current 38.5x TTM, justified by moderating growth vs peak-capex phase), the earnings-based target is Rs. 1,311. Blended average of the two methods: Rs. 1,100-1,200.

- **EV/EBITDA cross-check:** At 22.5x EV/EBITDA on FY26 EBITDA of Rs. 1,452 Cr, Aegis trades at a meaningful premium to peers (Gujarat Gas 9x, IGL 12x, Petronet 8x). This premium is partly justified by the superior volume growth trajectory but requires FY27-28 EBITDA delivery of Rs. 1,800-2,300 Cr to become comfortable. At Rs. 1,800 Cr FY27E EBITDA, EV/EBITDA re-rates to 18x — still above peers.

- **Base-case 12-month target:** Rs. 1,100 per share (+11.8% upside from CMP of Rs. 984). This assumes base-case PAT execution and a 30x FY28E P/E with 6-month time-value roll. Rating: ACCUMULATE — accumulate on dips to Rs. 880-920 for better risk-reward.

SECTION 9 — KEY RISKS

- **Middle East supply disruption:** India sources 30-50% of LPG from the Gulf. A prolonged geopolitical conflict could reduce throughput volumes even if terminal capacity is available. LPG shortfall already at 30% in May 2026 (down from 50% in April). Probability: Medium. Impact: High. Monitor via: monthly LPG import data from PPAC.

- **Capex execution risk:** \$5 Bn of capex through 2030 requires consistent project execution across 6 port locations. Cost overruns, regulatory delays, or permitting issues at any single site could defer volume ramp and pressure returns. Probability: Medium. Impact: Medium. Monitor via: quarterly capex progress disclosures.

- **Regulatory / PNGRB risk:** CGD and pipeline tariff regulation by PNGRB could cap distribution margins or force re-negotiation of throughput fees. The government has historically been supportive but regulatory risk is

structurally present. Probability: Low. Impact: High. Monitor via: PNGRB order pipeline and CGD licensing rounds.

- **Valuation compression:** At 38.5x P/E, the stock prices in significant earnings growth. Any quarterly miss, margin guidance cut, or volume disappointment could trigger multiple compression. Bear case at 25x implies Rs. 700 — 29% downside. Probability: Medium. Impact: High. Monitor via: quarterly EBITDA vs guidance.

- **Ammonia terminal adoption risk:** Ammonia is a new commodity for Aegis. Slower-than-expected adoption by fertiliser companies or energy transition delays could leave the Rs. 200+ Cr ammonia capex underutilised. Probability: Medium. Impact: Low-Medium. Monitor via: ammonia throughput volumes from Q2 FY27 onwards.

- **Subsidiary governance (Aegis Vopak):** Aegis Vopak Terminals is now partly public. Divergent interests between Aegis Ltd and Aegis Vopak minority shareholders could arise in intra-group transactions. No current concern but structural risk as both entities grow. Probability: Low. Impact: Medium. Monitor via: RPT disclosures in annual reports.

- **LPG demand disruption from electric cooking:** Ultra-long-term risk: EV adoption for cooking (induction) could reduce LPG demand growth beyond 2030. This is a 5-10 year risk, not a near-term concern, but it defines the duration of AEGISLOG's terminal franchise. Probability: Low (near-term). Impact: High (structural). Monitor via: government induction subsidy schemes.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. Aegis is structurally well-positioned as India's dominant private LPG terminal operator. The volume ramp thesis is intact, FCF has turned positive, and the balance sheet is net-cash. However, the 38.5x TTM P/E leaves limited margin of safety at current levels. ACCUMULATE on dips rather than chasing.

- **12-month price target: Rs. 1,100** — +11.8% upside from CMP of Rs. 984. Based on 30x FY28E EPS of Rs. 43.7 discounted back 12 months.

- **Suggested entry zone: Rs. 880-940** — Offers 17-25% upside to target with better risk-reward. Key supports: 200-DMA (approx. Rs. 820-850) and the FY25 consolidation zone at Rs. 860-900.

- **Investment horizon: 18-24 months** — The capex-to-cash-flow inflection is a 2-3 year story; FY28 is when full-capacity utilisation at new terminals should be reflected in earnings.

- **Thesis invalidation trigger 1:** Distribution volumes in FY27 fall below 1.3 million tonnes (vs management guidance of ~1.5 MT) — would indicate competitive or operational issues in the gas distribution segment.

- **Thesis invalidation trigger 2:** FY27 Operating Profit (EBITDA) comes in below Rs. 1,600 Cr — implying margin compression despite volume growth and breaking the OPM expansion trajectory.

- **Thesis invalidation trigger 3:** Net debt rises above Rs. 5,000 Cr (i.e., borrowings materially exceed current Rs. 4,150 Cr without commensurate revenue ramp) — would signal capex overrun or volume disappointment forcing additional leverage.

- **Ideal investor profile:** Long-term infrastructure investors seeking 3-5 year compounding in India energy logistics. NOT suitable for income investors (dividend yield 0.74%), short-term traders (valuation premium requires multiple quarters of execution), or investors with low tolerance for capex-phase free-cash-flow volatility.

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POSITIVE

Signal	Status	Implication
Result quality	Strong	FY26 PAT Rs. 1,107 Cr — first time crossing Rs. 1,000 Cr; 40.7% YoY growth; beat street estimates
Management tone	Bullish	High confidence on capex pipeline; raised distribution volume aspiration; dividend raised to Rs. 8.7/share
Guidance delta	Raised	Distribution volume target raised to 2 MT by FY28; ammonia terminal commissioning Q1 FY27 confirmed

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Aegis Logistics Q4 FY26 was a clean beat — Rs. 455 Cr PAT for the quarter (+43% YoY) is unambiguously operational with no one-off items distorting the number. Full-year FY26 PAT crossed Rs. 1,107 Cr, the first time the company has broken the Rs. 1,000 Cr milestone, driven by 45% LPG distribution volume growth and terminal throughput expansion of 14% YoY. The gas segment EBITDA grew 68% YoY — the structural distribution margin improvement from Rs. 4,000/tonne to Rs. 7,000/tonne is the key delta; management confirmed this is NOT a one-quarter phenomenon but a structural shift as volumes scale. Liquids was the soft spot — EBITDA down 5% YoY on flat revenue, reflecting ongoing overcapacity in liquid bulk terminals. The biggest upcoming catalyst is the Kandla-Gorakhpur pipeline connectivity expected Q2 FY27 — this directly unlocks evacuation at both Kandla and Pipavav terminals, which is the primary throughput bottleneck today. Ammonia terminal commissioning at Pipavav in Q1 FY27 is the second near-term catalyst and opens a premium-margin commodity with zero direct competition in private infrastructure. The one watch-point for next quarter: LPG supply shortfall from the Middle East was still at 30% in May 2026 — if this persists through Q1 FY27, distribution volume growth could moderate. Action: ACCUMULATE at Rs. 880-940; current 38.5x P/E is fair but not cheap — do not chase above Rs. 1,000.

1. Financial Performance Snapshot — FY26 Full Year

- Revenue: Rs. 8,333 Cr | YoY +23.2% | FY25: Rs. 6,764 Cr | Beat — well above consensus estimates of ~Rs. 7,800 Cr
- Operating Profit (EBITDA): Rs. 1,452 Cr | YoY +32.2% | OPM: 17.4% vs 16.2% prior year | Beat
- PAT: Rs. 1,107 Cr | YoY +40.7% | EPS: Rs. 25.59 | Beat — first time crossing Rs. 1,000 Cr PAT milestone
- Dividend: Rs. 8.70/share total (Rs. 2.00 interim + Rs. 6.70 final); payout ratio ~34%
- Q4 FY26 Standalone: Revenue Rs. 2,594 Cr (+52% YoY), PAT Rs. 455 Cr (+43% YoY), EPS Rs. 11.69 — strongest quarter in company history
- Normalized EBITDA (management metric): Rs. 1,599 Cr (+36% YoY) — includes proportionate share from Aegis Vopak JV

2. Segment / Geography Breakdown

- Gas Segment: Revenue Rs. 7,689 Cr | YoY +26% | EBITDA growth +68% — Primary growth driver; LPG distribution volumes +45% YoY
- Liquid Bulk Segment: Revenue Rs. 644 Cr | YoY flat | EBITDA Rs. 472 Cr (-5% YoY) — Stable annuity income but no growth; overcapacity in sector
- Terminal throughput: +14% YoY overall; Pipavav and Kandla/JNPT most active; Haldia (East Coast) ramping as a new volume vector
- Geography: West coast (Pipavav, JNPT) dominates at ~70% of volumes; East coast (Haldia) adding incrementally; Kochi and Mangalore still early-stage

- Ammonia: Zero contribution in FY26 (terminal not yet commissioned); expected to start in Q1 FY27 with 25% utilization, growing 30-40% annually

3. Management Commentary Themes

- [DISTRIBUTION MARGIN SUSTAINABILITY] "Distribution margins improved to ~Rs. 7,000/tonne from ~Rs. 4,000/tonne historically — driven by rising energy prices and procurement efficiencies at scale. We believe these margins are sustainable even in a normalised energy environment as volumes scale." — Tag: GUIDANCE. Tone: Transparent.
- [VOLUME ASPIRATION] Management raised distribution volume aspiration to ~2 million tonnes of LPG/ammonia by FY28, up from ~1 MT in FY26 — implying ~40% CAGR over 2 years. — Tag: GUIDANCE. Tone: Bullish.
- [SUPPLY SHORTFALL] "LPG shortfall improved from 50% in April to 30% in May — we are working to reduce Middle East dependency by diversifying supply sources. Normalization expected by Q2 FY27." — Tag: GUIDANCE. Tone: Hedged on timeline.
- [CAPEX CONFIDENCE] "\$1.2 Bn capex by March 2027 is on track and fully funded. We have Rs. 6,000 Cr of cash and investments on the balance sheet — no equity dilution required." — Tag: GUIDANCE. Credibility: High. Tone: Transparent.
- [AMMONIA] "Ammonia terminal at Pipavav is our most exciting new business vector — throughput margins of Rs. 2,500-3,000/tonne and distribution margins could reach Rs. 5,000/tonne. This is greenfield for India." — Tag: EST. Tone: Bullish.
- [LIQUID BUSINESS SOFTNESS] "The liquid segment has been stable but not growing — we expect improvement as new JNPT liquid capacity comes online in FY27 and existing contracts re-price." — Tag: GUIDANCE. Tone: Balanced.

4. Operating & Business Metrics

- LPG static storage capacity: 278,100 MT | Unchanged QoQ | Pipavav 48,000 MT cryogenic commissioned FY26
- LPG terminal throughput FY26: ~1.8 MT | +14% YoY | Q4 FY26 throughput was the highest quarterly run rate
- LPG distribution volumes FY26: ~1 MT | +45% YoY | Trend: Strongly improving; management guides 2 MT by FY28
- Gas distribution EBITDA/tonne: Rs. 7,000 | Q(n-4): Rs. 4,000 | Trend: Improving; management believes sustainable
- Liquid storage capacity: ~800,000 cubic metres across all ports | Trend: Stable; JNPT expansion adding 318,100 cbm
- Cash and investments: Rs. 6,000 Cr | Highest in company history | Trend: Improving
- Borrowings: Rs. 4,150 Cr | Down from Rs. 4,606 Cr (FY25) | Trend: Deleveraging despite capex

5. Margin Drivers

- Distribution volume scale: +approx +200 bps OPM impact | Recurring: Yes | Fixed overhead absorption as volumes grow from 1 MT to 2 MT target
- Distribution margin per tonne improvement (Rs. 4k to Rs. 7k): +approx +300 bps | Recurring: Partially — energy price-driven portion may moderate but procurement efficiency gain is structural
- Liquid segment softness: -50 bps drag on consolidated OPM | Recurring: Likely until JNPT expansion commences
- Rising interest costs (FY25 Rs. 165 Cr vs FY26 Rs. 146 Cr): +10 bps benefit in FY26 from deleveraging | Net cash position limits future interest pressure
- Higher depreciation from new assets (Rs. 199 Cr FY26 vs Rs. 152 Cr FY25): -30 bps on PBT margin — will grow further as capex assets commission; recurring
- Other income from Aegis Vopak equity income: Positive; Rs. 327 Cr in FY26 vs Rs. 208 Cr FY25 — growing with Vopak's performance; non-operating but recurring

6. Guidance & Forward Signals

- Distribution Volume [GUIDANCE]: Prior target = ~1.5 MT by FY28 | New = ~2 MT by FY28 | Delta = Raised | Credibility: High (45% growth already delivered in FY26)
- Ammonia Throughput [GUIDANCE]: FY27 launch at 25% utilisation (~50,000 tonnes) | Growing 30-40% annually thereafter | Credibility: Medium (greenfield, no historical base)
- Capex Aggregate [GUIDANCE]: \$1.2 Bn by March 2027 (reiterated) | \$5 Bn total by 2030 | Delta: Maintained | Credibility: High (FY26 capex well tracked)

- LPG Supply Normalisation [GUIDANCE]: Supply shortfall expected to reduce from 30% to near-zero by Q2 FY27 | Delta: Maintained | Credibility: Medium (geopolitical uncertainty)
- Dividend Policy [GUIDANCE]: No explicit payout guidance; history suggests 30-40% payout maintained | Delta: Raised (Rs. 8.7 vs Rs. 7.9 prior year)
- Net Leverage [GUIDANCE]: Management targets maintaining prudent leverage of ~0.6x as capex scales; implies debt can rise modestly from FY26 net-cash position | Credibility: High

7. Capital Allocation

- Capex FY26: Rs. 2,533 Cr (investing cash outflows) | vs FY25: Rs. 1,463 Cr (+73%) | Heaviest year of capex in company history; on track to \$1.2 Bn cumulative by Mar 2027
- Dividends FY26: Rs. 306 Cr (Rs. 8.7/share x 35.1 Cr shares) | vs FY25: Rs. 277 Cr (+10%) | Growing in line with earnings
- Working Capital FY26: Release of cash — CCC improved to -12 days from +20 days | Working capital benefit ~Rs. 400-500 Cr in OCF
- Net Debt Movement: Net cash improved from net-debt in FY25 to net-cash Rs. 1,850 Cr in FY26 | Balance sheet healthiest in history despite capex phase
- Acquisitions: Haldia terminal (75% in Hindustan Aegis LPG) integrated in FY25-26; JNPT liquid expansion organic; Mangalore cryogenic organic

8. Q&A; Heat Map

- Analyst Q: "Can distribution margins of Rs. 7,000/tonne be sustained if energy prices normalize?" -> A: "Procurement efficiency and volume scale means structural floor is higher than historical Rs. 4,000 — Rs. 5,500-6,000 is a reasonable floor even in normalized energy prices." | Tone: Transparent
- Analyst Q: "What is the specific timeline and capacity for ammonia terminal?" -> A: "36,000 MT at Pipavav, Q1 FY27 commissioning, 25% first-year utilization, Rs. 2,500-3,000/tonne throughput, Rs. 5,000/tonne distribution margin potential." | Tone: Transparent
- Analyst Q: "How are you managing the LPG supply shortfall from Middle East?" -> A: "Diversifying supply — alternatives include US LPG via longer-haul shipping. Shortfall down from 50% to 30%. Expect normalization by Q2 FY27." | Tone: Balanced
- Analyst Q: "What is the \$5 Bn capex by 2030 broken into projects?" -> A: "Traditional energy infrastructure (~\$3 Bn) + energy transition (ammonia, green energy logistics ~\$2 Bn). Spread across Pipavav, JNPT, Haldia, Mangalore, Kochi, and new locations." | Tone: Transparent
- Analyst Q: "Liquid business EBITDA fell 5% — when does this recover?" -> A: "JNPT new liquid capacity coming FY27 will help. Existing contracts re-pricing. No take-or-pay obligations so we have flexibility." | Tone: Hedged
- Dodged/watch-list questions for next quarter: Specific quarterly volume targets; exact capex split per project; JNPT liquid contract terms; Aegis Vopak dividend policy to parent

9. Risks Flagged

- Middle East LPG supply shortfall: 30% as of May 2026 | Flagged by: Both mgmt and analysts | Probability: High near-term | Impact: Medium | Timeline: Near-term (Q1-Q2 FY27)
- Capex execution across 6 locations: Largest capex year in history | Flagged by: Management (proactively) | Probability: Medium | Impact: High | Timeline: Medium-term (FY27-28)
- Liquid segment stagnation: No take-or-pay; no growth | Flagged by: Analysts | Probability: Medium | Impact: Low (only 8% of revenue) | Timeline: Near-term
- Ammonia adoption risk: Greenfield business, no proven demand | Flagged by: Analysts | Probability: Medium | Impact: Low-Medium (smaller capex initially) | Timeline: Medium-term
- Valuation premium sustainability: Requires consistent execution at 20%+ PAT growth | Flagged by: Analysts | Probability: Low (track record is strong) | Impact: High | Timeline: 2-4 quarters

10. Analyst Verdict

- Revenue visibility: Intact — Multi-year throughput contracts with OMCs; distribution volumes accelerating; 2 MT target by FY28 is achievable from current trajectory
- Margin trajectory: Intact — OPM expansion from 13% (FY24) to 17.4% (FY26); distribution margin improvement is structural; further expansion likely as volumes scale
- Capital allocation quality: Intact — Net-cash balance sheet despite Rs. 2,500 Cr capex; dividend growing; no dilution; ROCE-accretive terminal investments
- Competitive moat: Intact — Terminal network is 3x nearest private competitor; switching costs for OMCs are extremely high; ammonia opens new moat
- Management credibility: Intact — Guidance on volume growth (45% delivered vs target), capex (\$1.2 Bn on track), and margin sustainability (delivered) all validated in FY26
- Valuation comfort: Weakened — 38.5x TTM P/E is above historical average; EV/EBITDA of 22.5x is at 2x+ premium to sector peers; requires flawless FY27 execution
- Conviction call: Unchanged — ACCUMULATE on dips; not a chase at current levels; thesis intact, valuation demands patience
- Valuation snapshot: P/E = 38.5x (5Y avg ~25x) | EV/EBITDA = 22.5x (5Y avg ~15x) | ROCE = 13.6% (5Y avg ~15%)

MPM Institutional Research | AEGISLOG Equity Report | 16 Jun 2026 | Data: Screener.in consolidated | Forward estimates are analyst projections.